WELCOME

TO

PRODUCTION THEORY

&

FACTORS OF PRODUCTION

Topics will be discussed here:

- Definition of Production
- Production Function
- Factors of Production
- PPF

about

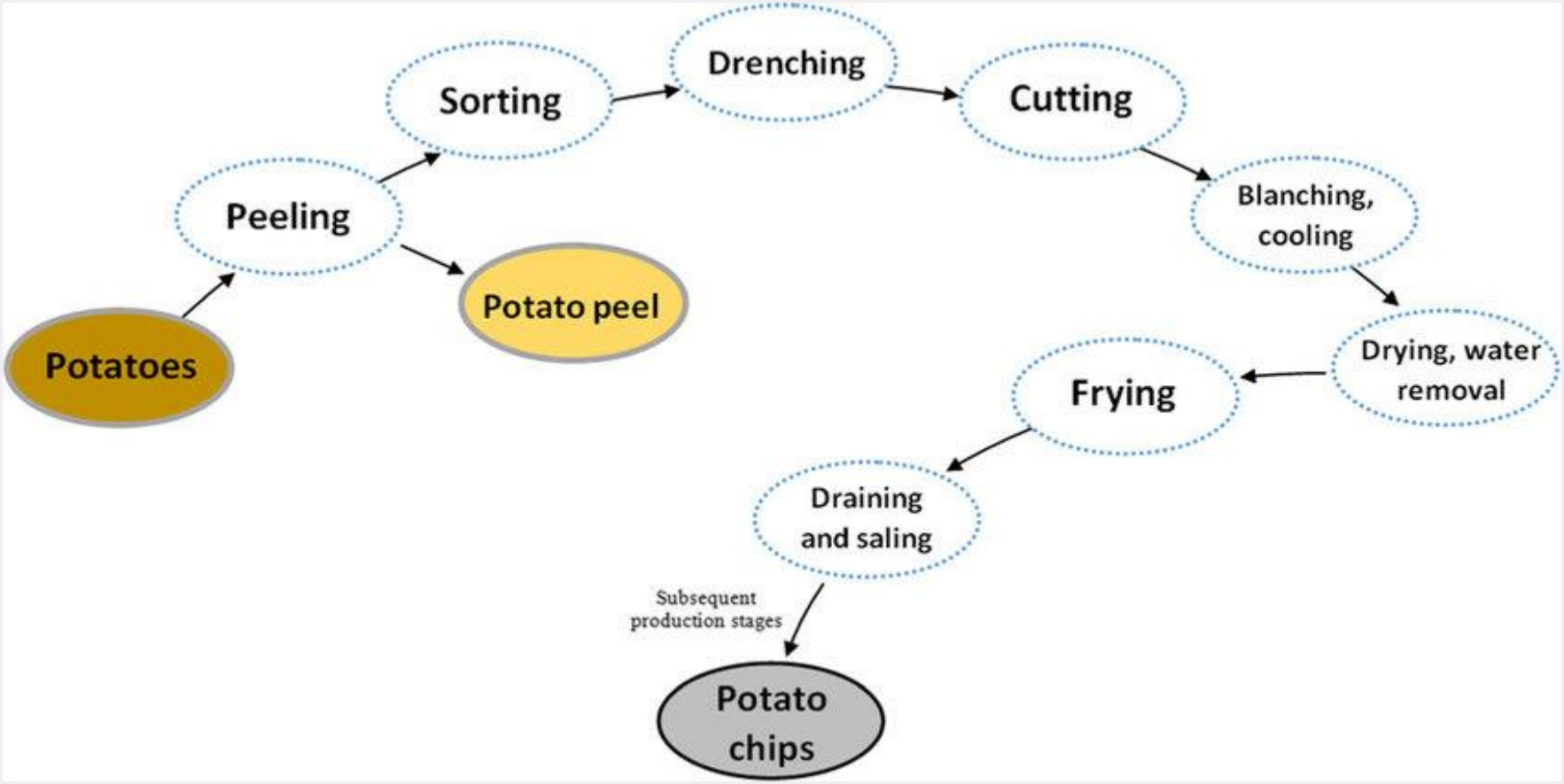
What is Production?

In economics, Production is generally understood as the transformation of inputs into outputs.

Input → Transform → output

Output/final goods/product/finish goods
(the product which ready for sell and consume)

Example of Production



Production Function

Production function is defined as the functional relationship between input and output.

$$Q = f(L, K)$$

Where,

Q= Production Function
L= Labor
K= Capital
f= Function

function

Factors of production

- Land
- Labor
- Capital
- Entrepreneur

Land

Land stands for all natural resources which yield an income or which have exchange value.

Land is nature's gift. It is fixed in quantity, and it is permanent. Land lacks mobility and land provides infinite variation of fertility.

Labor

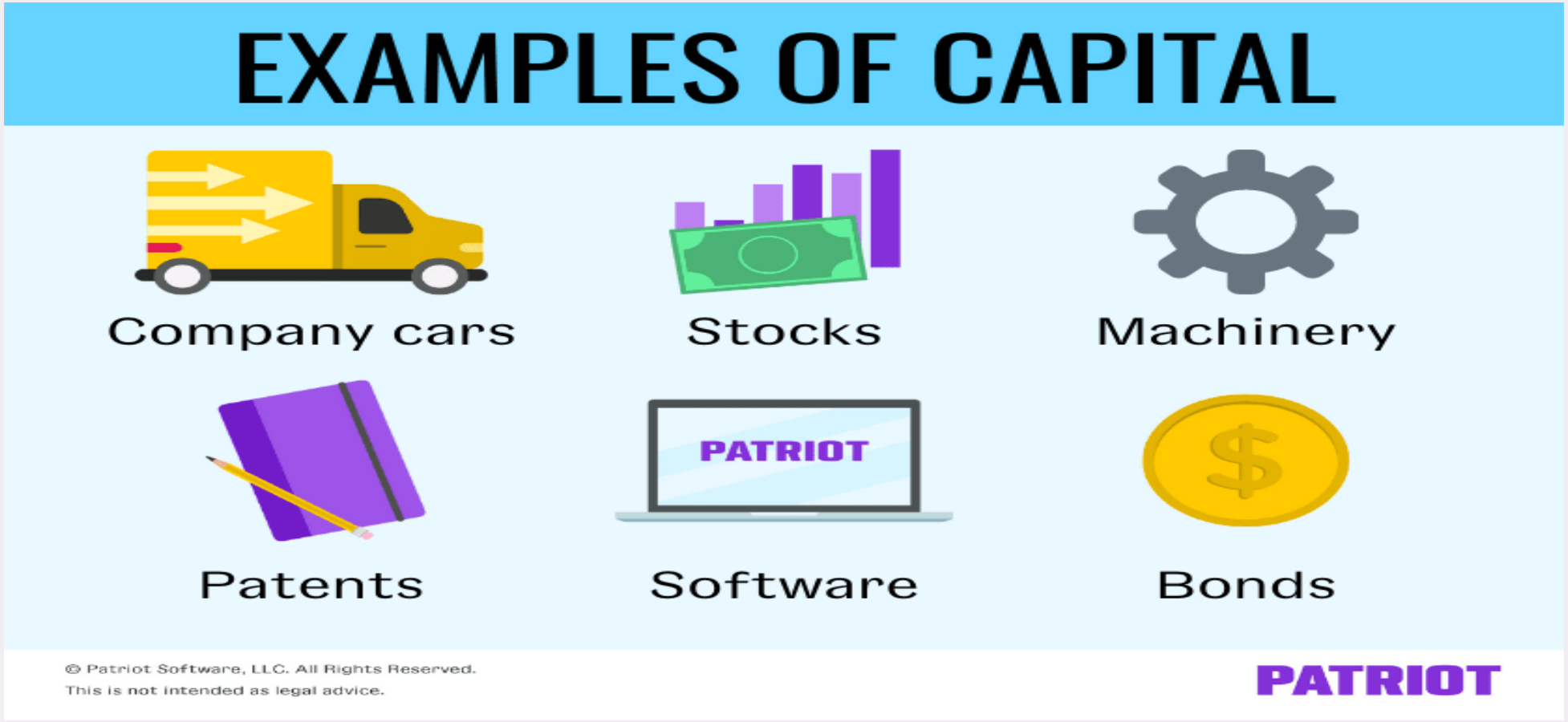
In economic sense, any work whether manual or mental, which is undertaken for a monetary consideration is called labor.

Characteristics of Labor

- A person's labor is inseparable from the human being.
- It is perishable.
- Labor has a very weak bargaining power.
- Labor accepts compensation for his/her labor.
- Labor has to sell labor in person .

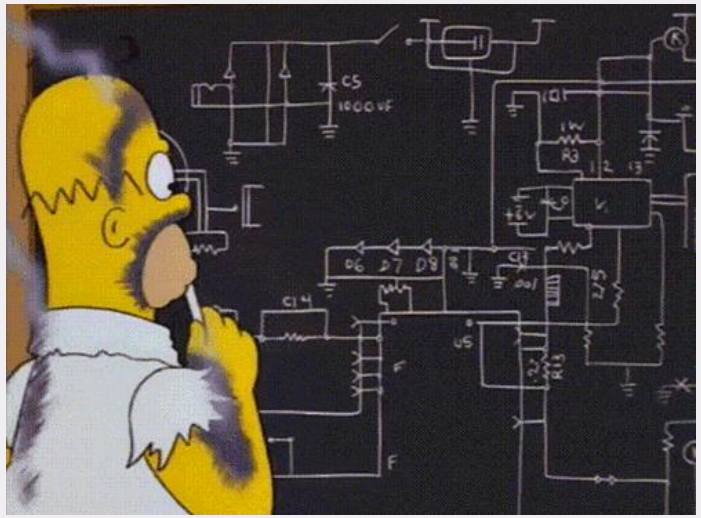
Capital

Anything we can invest and it will give us a flow of monetary return in the future.



Entrepreneur

An entrepreneur is an individual who creates a new business, bearing most of the risks and enjoying most of the rewards.



Characteristics of an Entrepreneur

- Must be a rick taker/lover.
- Entrepreneur is an agent.
- Entrepreneur is a profit maker.
- Entrepreneur is an achievement motivator.
- Entrepreneur is a capital provider.
- Entrepreneur is an innovator.
- Entrepreneur is a challenge taker.
- Entrepreneur is a reward receiver.